

Recitation 5 (Section 002)

Pranay Gundam

October 3, 2026

University of Minnesota

Please scan the QR code and fill out the attendance form!



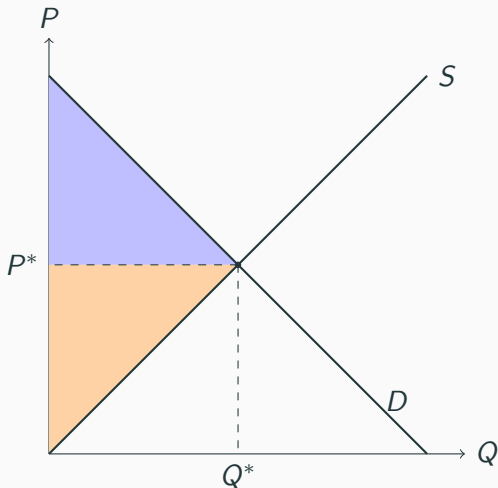
Today's Agenda

- Announcements
- Last week review, calculating surplus
- In Class Activity

Announcements!

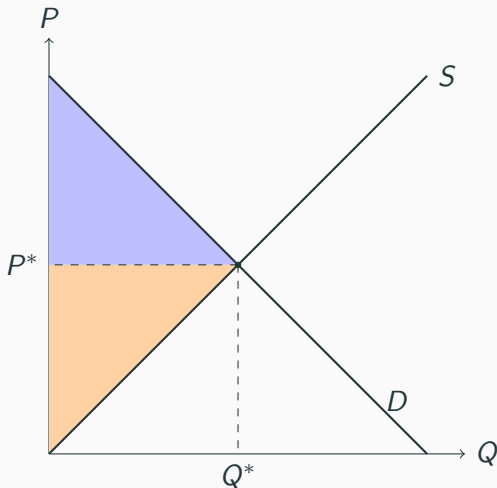
- Midterm is coming up on **October 12th from 6:50pm – 7:50pm.**
- Do the Honorlock Practice Quiz!
- I have my **midterm review** session on Friday from 5pm - 6pm.

Consumer, Producer, and Total Surplus



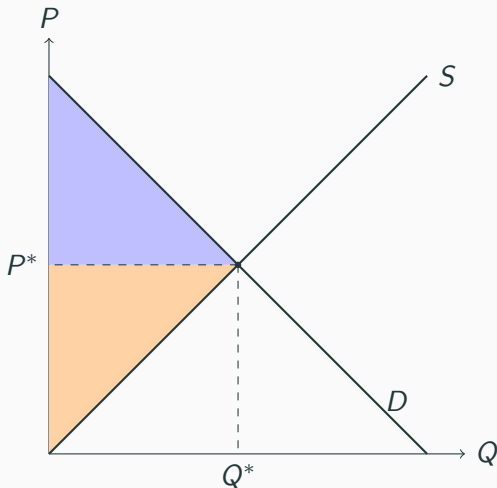
- Which shaded region is CS, and which is PS? How would you describe each?
- Why is CS the area *below* demand but *above* price?
- Is total surplus maximized at (Q^*, P^*) ? Why?
- If price rose above P^* , what happens to total surplus?

Consumer, Producer, and Total Surplus



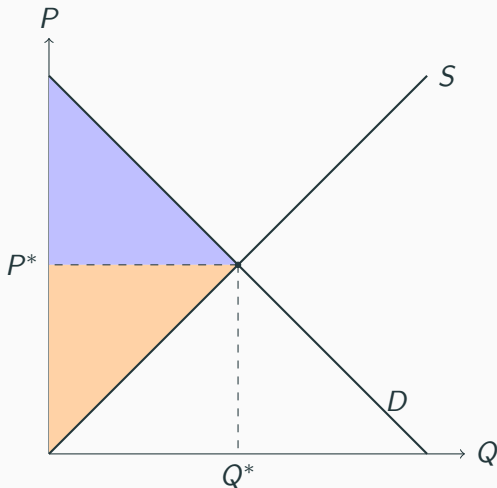
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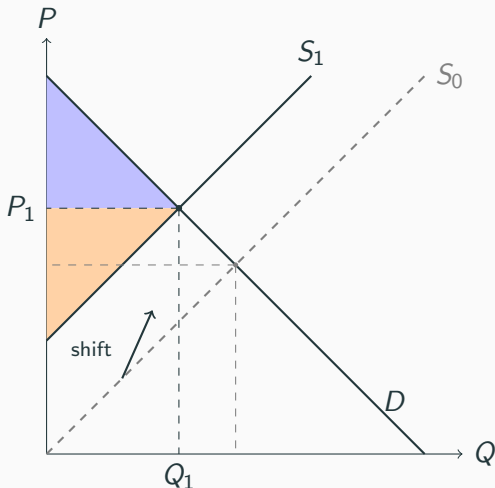
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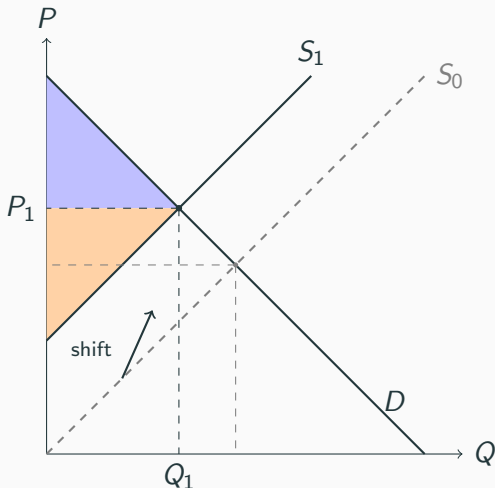
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Effect of a Decrease in Supply



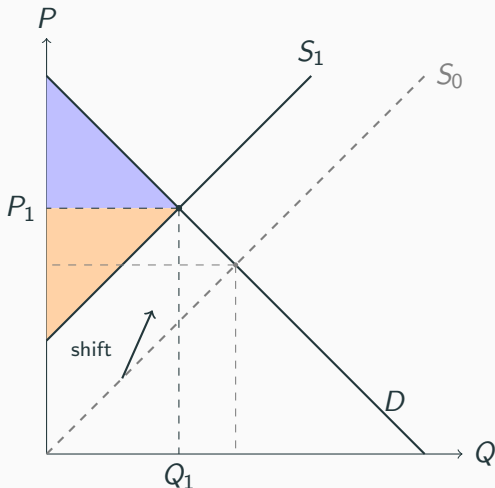
- What are some reasons the supply curve could have shifted?
- How do equilibrium price and quantity change as a result?
- Does consumer surplus increase or decrease? Why?
- Does PS necessarily move the same way? What would make it fall too?

Effect of a Decrease in Supply



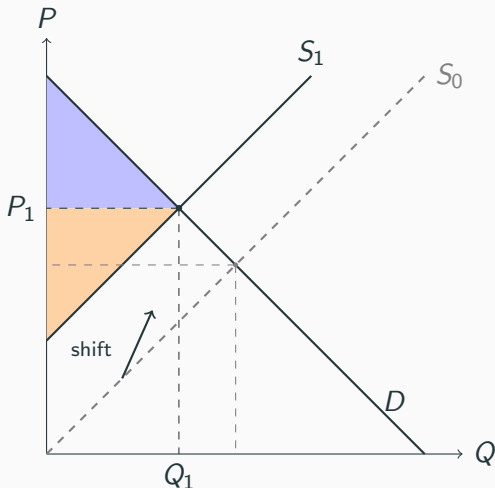
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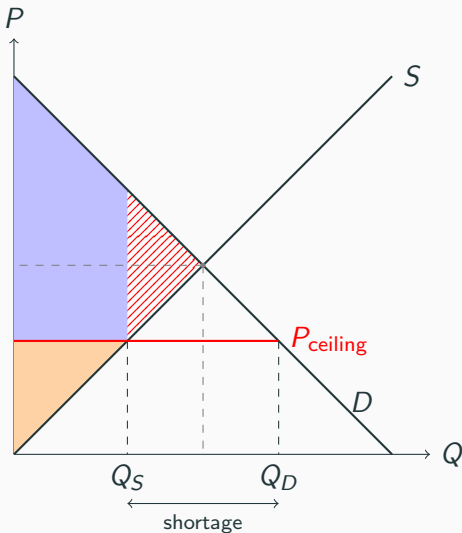
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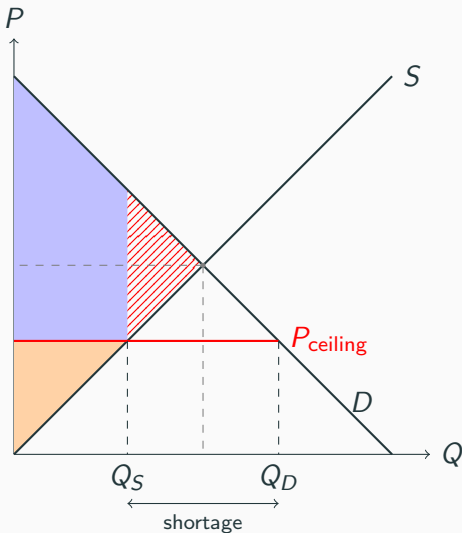
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Effect of a Binding Price Ceiling



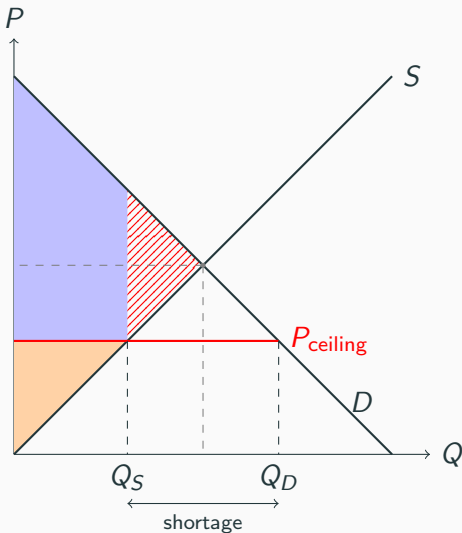
- What would happen if the price ceiling was above P^* ?
- Why is the quantity traded Q_S rather than Q_D ?
- What is the red region?

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Open up Canvas and navigate
to **“In-Class Activity 4
(Discussions)”**!

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